Upgrad Education Private Limited

UpGrad

Pricing Strategy

Applying Pricing Psychology Principles to Strengthen UpGrad's Market Position.

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Executive Overview

UpGrad Education Private Limited is a global ed-tech organisation founded in 2015 with the mission of serving as a “trusted lifelong learning partner for the global workforce”. Its portfolio spans four major categories: online and blended higher-education degrees, professional certificates and executive education, study-abroad pathway programs, and enterprise learning solutions. Many of its flagship offerings are co-branded with leading academic institutions such as Liverpool Business School, IIIT Bangalore, and IIT Kharagpur, strengthening the credibility of its digital delivery model.

The company primarily targets working professionals and ambitious learners in their early- to mid-career stages, including job seekers, career switchers, and managers pursuing leadership credentials. Having achieved EBITDA profitability in FY25, UpGrad is transitioning from a growth-driven model to a margin-disciplined operating approach. In this context, pricing becomes a strategic lever rather than a transactional mechanism. This report evaluates UpGrad’s current pricing structure, diagnoses its core pricing challenges, applies established pricing-psychology frameworks, and proposes a redesigned, evidence-based pricing architecture to reinforce competitive advantage.



As UpGrad matures into a profitable ed-tech business, its future growth depends on aligning pricing with customer value perceptions rather than relying solely on enrolment-driven expansion.

Current Pricing Analysis

Existing Pricing Model

UpGrad currently employs a hybrid tiered pricing structure combining program-level tuition, subscription-style models for select offerings, enterprise contracts, and extensive financing mechanisms. This results in a wide price dispersion, ranging from free short courses to premium international MBAs exceeding USD 25,000. As the document notes, "*a large library of free short courses functions as a freemium top of funnel*," while advanced data-science pathways can reach ₹520,000–600,000.
Financing levers EMIs, BNPL, deferred payment, early-bird discounts, and scholarships are layered on top of tuition fees. While these tools support conversion, they also create an inconsistent and often opaque pricing environment.

Existing Pricing Model

- Broad but Complex Pricing Structure
- Financing Drives Accessibility but Weakens Price Clarity

Competitive Positioning

- Strong Middle-Market Differentiation
- Premium Positioning Is at Risk

Competitive Positioning

UpGrad occupies a deliberate mid-market position. Below it sit low-cost MOOC platforms such as Coursera, Udemy, and FutureLearn, which compete on subscription-based affordability. Adjacent competitors like Simplilearn operate on bootcamp-style pricing with career services. Above UpGrad are traditional on-campus universities with significantly higher tuition fees.
UpGrad's differentiation lies in its co-branded credentials, mentorship, and career outcomes elements that low-cost subscription platforms cannot easily replicate. However, the current pricing structure is not strategically designed; it is, as the document states, "*an unmanaged price spread rather than a designed architecture,*" and heavy discounting risks eroding the premium signal required to justify higher price points.

Key Pricing Issues

AFFORDABILITY CONSTRAINTS

UpGrad's flagship programs represent high-value but high-ticket purchases in price-sensitive markets. The company currently bridges affordability gaps through scholarships and financing. While effective tactically, this approach is fragile: it ties enrolment to financing availability and conditions learners to expect negotiated reductions rather than transparent pricing.

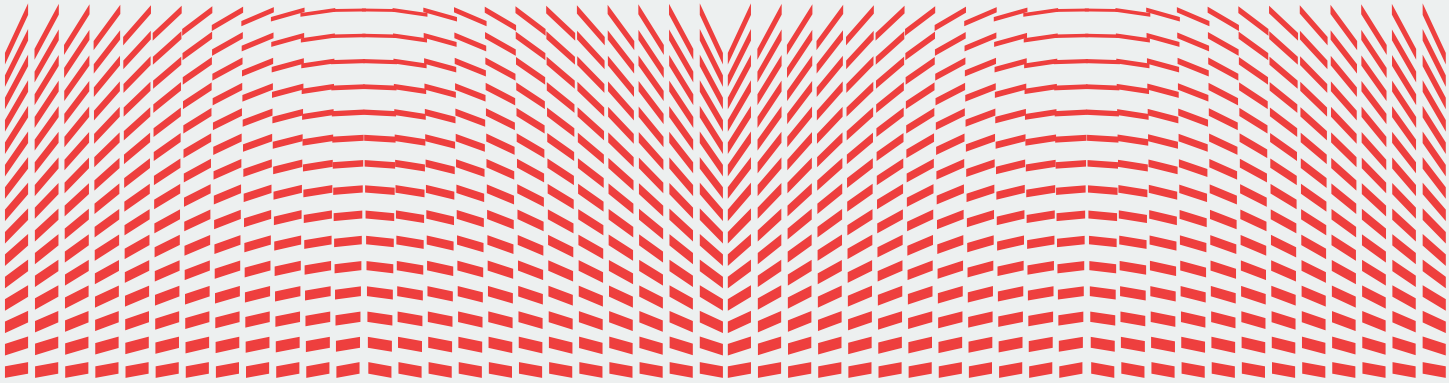
COMPETITIVE PRESSURE

The broader ed-tech market is increasingly subscription-driven, placing downward pressure on pricing. As the source text highlights, competing on price against low-cost MOOC platforms is a "battle UpGrad cannot win and should not enter."Excessive discounting risks commoditising premium programs.

CUSTOMER PERCEPTION

The most significant challenge is perceptual. Persistent "up to 50% off" messaging signals lower quality and trains customers to delay purchase. Moreover, the value embedded in UpGrad's programs mentorship, projects, placement support is often insufficiently articulated, leaving learners questioning "is this worth it?" rather than focusing on desired outcomes.

Application of Pricing Theory



1. Anchoring

Anchoring influences how learners interpret price. UpGrad benefits from two existing anchors free courses and "*fraction of on-campus cost*" messaging but lacks a deliberate high anchor that elevates perceived value across the portfolio. Pricing theory suggests that a visible premium reference point can shift willingness to pay upward.

2. Value-Based Pricing

Given that UpGrad's marginal delivery cost is low but perceived value is high, pricing should be grounded in value communication. Explicitly surfacing components such as mentorship hours, employer projects, and live cohorts strengthens the price-quality signal.

3. Tiered Pricing (Good-Better-Best)

A structured Good-Better-Best (GBB) architecture simplifies decision-making, segments willingness to pay, and leverages the decoy effect. This approach transforms UpGrad's current price dispersion into a coherent, navigable structure.

4. Price Sensitivity Management

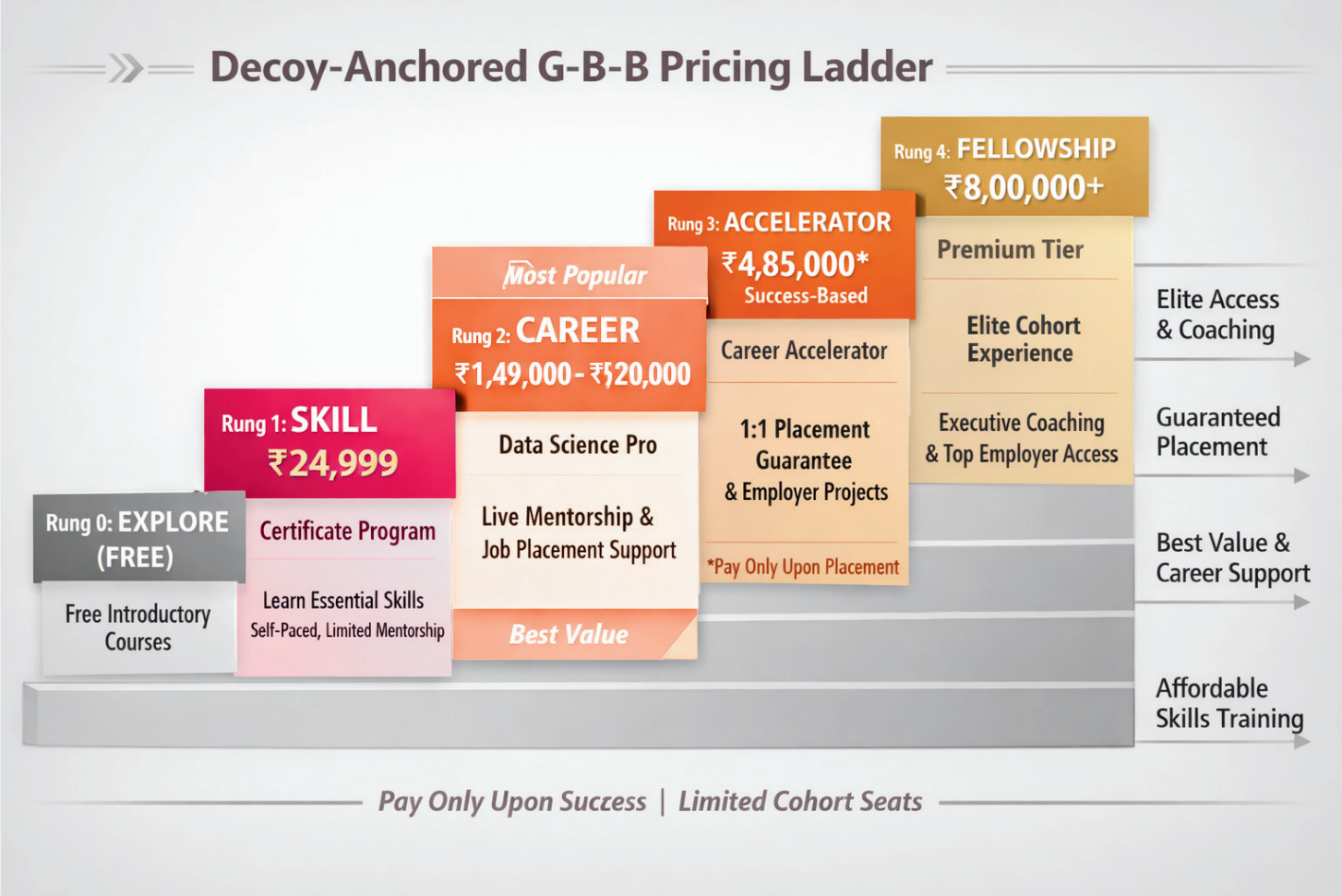
Two mechanisms reduce perceived price pain without discounting:

- **Price divisibility:** framing fees as monthly instalments with contextual value cues reduces cognitive load.
- **Loss aversion:** outcome-linked fees reduce perceived risk by capping downside exposure.

Additionally, leading with outcomes for premium programs shifts evaluation from economic value to aspirational identity.

Recommendation:

The proposed strategy replaces the current unstructured spread with a deliberate four-rung ladder, each rung serving a defined psychological and commercial purpose. Using the data-science portfolio as an example:



Presentation Rules

- Lead with outcomes and credentials for premium tiers.
- Lead with price for Rung 1.
- Use price-divisibility framing with explicit value articulation (e.g., “₹4,85,000 = 18 months of live mentorship + 1:1 career coaching”).
- Retire blanket scholarships; replace them with value-adds and genuine early-cohort scarcity.

Proposed Pricing Strategy

Rung 0 - Explore (Free)

- Reposition existing free courses as the explicit entry point and anchor.

Rung 1 - Skill (~₹24,999)

- A self-paced certificate with limited mentorship, designed to attract price-sensitive learners and make the next tier feel more substantial.

Rung 2 - Career (₹1.49–5.2 lakh)

- The flagship co-branded program with live mentorship and placement support. This becomes the “best value” middle tier.

Rung 3 - Accelerator (Outcome-Linked)

- Rung 2 plus intensive 1:1 placement support and employer-project access, with a capped success fee payable only upon achieving defined employment outcomes. This reduces perceived risk and signals confidence in outcomes.

Rung 4 - Fellowship (Premium, Cohort-Capped)

- A high-priced, low-volume tier offering elite employer access and executive coaching. Its primary role is to serve as a high anchor that makes Rungs 2 and 3 appear more reasonably priced.

Ethical Guardrail

Anchors and comparisons must be real and available. As the document states, “*never leave customers feeling tricked.*”Ethical persuasion strengthens long-term brand equity.

Consequences & Implementation

To translate the proposed pricing architecture into operational reality, the following three considerations outline the key consequences, implementation approach, and risk-mitigation requirements.

Pricing Impact

- A well-designed Good-Better-Best ladder functions as a price-discrimination engine, enabling UpGrad to capture both budget-constrained learners and high willingness-to-pay segments without relying on discounting. Outcome-linked pricing strengthens the company's career-outcome differentiation and increases customer lifetime value.

Phased Implementation

- Rollout should be sequenced rather than immediate. The data-science portfolio is the ideal pilot due to existing price points. A/B testing should evaluate both margin uplift and conversion effects before scaling the model across other program families.

Risk Mitigation

- Key risks include resistance to discount withdrawal, operational complexity of outcome-based fees, and potential choice overload. These can be mitigated through value-add substitution for discounts, controlled outcome-based pilots with clear eligibility, and limiting the number of active tiers to maintain decision simplicity.

Conclusion

Clear, outcome-based pricing can strengthen UpGrad's premium positioning and profitability.

UpGrad’s challenge is not price level but price architecture. By transitioning to a structured, value-based Good-Better-Best ladder anchored, outcome-framed, and ethically communicated the company can transform pricing from a margin-eroding weakness into a durable competitive advantage.



Upgrad Education Private Limited

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